



Barber Republic

Call Prep -- Going Back to Ed Lawton Before Monday

Synthesises Meridian's funding analysis with Shane's two founder documents

Prepared for the 1pm call with Johnny Shanahan

PRIVATE AND CONFIDENTIAL

1. TWO INDEPENDENT ANALYSES NOW AGREE -- YOUR STRONGEST STARTING POINT

Meridian's funding work and Shane's own founder documents arrived at the same core recommendation, independently. Don't price the company or fix Ed's equity number now. Use a **convertible/milestone structure** — capital now, converting to equity later against defined evidence gates, not a valuation guess made under time pressure. Worth naming this alignment to Johnny directly: it isn't just Meridian's outside view, Shane's own framework lands in the same place.

2. THE "10%" CONFUSION -- RESOLVED

Shane's build scope proposes a **10% milestone-based allocation to Shane and John** — sweat equity for the work already done. This is entirely separate from whatever percentage Ed ends up with as an investor. Two different 10%s. Confirm this distinction is locked in your own heads before Monday, so it never gets conflated in conversation with Ed or his lawyers.

3. TODAY'S DECISION: GO BACK TO ED BEFORE MONDAY, OR WAIT?

Recommendation: go back -- with a concept, not a term sheet.

Shane's document is explicit that the goal of this process is to "leave with a founder-owned position, a list of decisions still open, and a clear process for reaching terms" — not a settled deal. A short, confident message to Ed before Monday, proposing the structure (convertible/milestone, ceiling range), gives Johnny the initiative going into his lawyer meeting rather than reacting to whatever the lawyers table first.

4. THE NUMBER TO PROPOSE, IF PUSHED: A CEILING, NOT A FIXED FIGURE

Shane's document models a founder-preferred ceiling of **5–10% for £50k** at pre-seed, explicitly noting "Edward may ask for more — the founders decide their ceiling." Meridian's independent valuation modelling landed at **9–10%** as the fair midpoint if priced today.

Recommend Johnny walks in with: "up to 10%, converting later, not fixed now." Consistent across both analyses.

5. THE DILUTION REALITY -- USE IT TO REFRAME THE CONVERSATION

If Ed takes 10% now and never invests again, ordinary dilution alone takes him to roughly **4–5% by Series B** — not because anyone shortchanged him, just how rounds work. This is useful, honest ammunition: offering Ed a **pro-rata right** (the option, not the obligation, to keep investing to maintain his %) is a fair, standard answer to "why would my equity shrink" — a genuine offer, not a concession.

6. WHAT MUST NOT HAPPEN ON ANY CALL BEFORE MONDAY OR TUESDAY

Both Shane's document and Meridian's advice converge hard on this: **a question can be answered live; a material term does not need to be accepted live.** "We understand the request, we'll model it and respond in writing" is a complete answer on its own. Johnny should go into both the pre-Monday contact and Tuesday's call with that discipline explicit, not assumed.

7. STILL OPEN BETWEEN YOU, JOHN AND SHANE -- NOT YET ED'S BUSINESS

- Exact split of the 10% sweat equity between Shane and John.
- Whether that 10% is calculated pre- or post-Ed's-money.
- Who leads and speaks on the Ed calls — Shane's document recommends Johnny leads throughout, with John and Shane answering only in their own lane (commercial/financial; technology/AI) when invited in.